downturn commences, weak firms will go into the bankruptcy process *and get rapidly processed*, their swift exit will improve profit margins of the survivors, and the resource reallocation will generate GDP growth. The faster that this process can play out, the shorter the downturn will be. A sound bankruptcy process gives less severe business cycle downturns.

Living in creative destruction

Many of us live in the cossetted formal sector, where our salaries and pensions are assured to us. We are used to very high levels of income and organizational stability. There is a vast India out there where things are more dynamic.

As an example, India saw the rise and fall of a million-man industry in the form of STD/PCO booths. [6] All of us remember a time when they did not exist; then came a period where they took off when STD rates collapsed; and then they vanished when mobile roaming became affordable. The market economy quietly mobilized the capital and labour for this new industry, and the market economy quietly presided over its dissolution. This was creative destruction at its best.

Similarly, each visit to a mall in India shows a new set of establishments that are hawking their wares. There is a constant pace of entry and exit. This shows that small firms in India are living the economists' ideal world of a high rate of entry and exit. There is nothing special about the Indian environment which makes this infeasible.

The government as a source of market power

The job of the state is to address market failure, and in this case, to combat market power. However, all too often, we have had state actions in India that have created or fostered market power.